

Rigetti Computing, Inc.

RGTI NASDAQ

Neutral

\$21.36 ▲ 5.51%

12M Price Target
\$22.00

52-Week Range
\$10.30 – \$58.15

Market Cap
\$7.10B

RGTI: Reiterate Neutral on Quantinuum IPO Overhang, Insider Selling

WHAT'S CHANGED

- Quantinuum IPO chatter drove a 9% drawdown on 6/17 (Zacks) as capital rotates within the quantum cohort; RGTI recovered +5.51% on 6/18 to \$21.36 but remains at only 23% of its 52-week range (\$10.3–\$58.15).
- Cluster insider selling continues: Director Johnson Ray O sold ~\$2.6M on 6/8 and CEO Kulkarni sold \$1.49M on 6/1 at \$24.38—above current spot—signaling unfavorable risk/reward at recent levels.

IMPLICATIONS

The Quantinuum IPO is a double-edged catalyst: it validates the quantum TAM and could lift sector multiples, but it introduces a higher-quality, trapped-ion competitor that will compete for institutional quantum allocations currently flowing to RGTI as the most liquid pure-play. Combined with the Simply Wall St. flag on the \$100M ATM-style funding deal (26.5% overvaluation), the setup suggests near-term capped upside until Rigetti delivers proof points on its 100+ qubit Ankaa roadmap and gate fidelity improvements. Bullish near-dated call flow (P/C 0.59, unusual \$21/\$22.5 June calls) reflects retail-driven gamma chasing rather than fundamental conviction.

VALUATION

At \$7.10B market cap on ~\$15-20M of FY26E revenue, RGTI trades at ~390x EV/Sales—an extreme premium even within speculative deep-tech, and roughly 3-4x the multiple implied for Quantinuum's reported IPO range. Our \$22 PT reflects a probability-weighted DCF blending a bull NPV of commercial quantum advantage by 2029 against ongoing cash burn (~\$80M/yr) and a ~20% annual dilution drag. Multiple contraction is the primary risk as comp set expands with Quantinuum's listing.

KEY RISKS

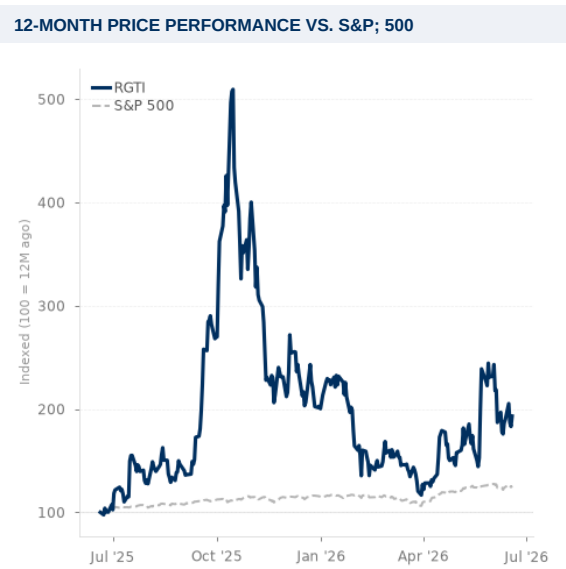
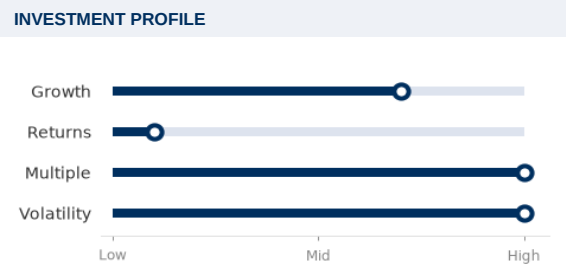
- Dilution: \$100M funding deal follows a pattern of equity raises; further ATM activity likely if cash runway drops below 18 months.
- Technical milestone risk: gate fidelity and logical qubit scaling must keep pace with IonQ, Quantinuum, and IBM superconducting roadmaps.
- Sector rotation: Quantinuum IPO pricing could re-rate the entire pure-play quantum complex lower on relative-value arbitrage.

RECENT NEWS

Rigetti Computing, Inc. (RGTI) is Attracting Investor Attention: Here is What You Should K... Zacks · 2026-06-19 13:00

Is Rigetti Computing Stock a Buy Right Now? Motley Fool · 2026-06-18 23:33

Key Data	
Price (USD)	\$21.36
12M Price Target	\$22.00
Upside / (Downside)	+3.0%
Market Cap	\$7.10B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.28)
FY2027E EPS	(\$0.22)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$26.00	\$21.00	\$17.00
6 Months	\$32.00	\$22.00	\$14.00
1 Year	\$40.00	\$22.00	\$12.00
2 Years	\$55.00	\$28.00	\$10.00
5 Years	\$90.00	\$35.00	\$6.00
10 Years	\$180.00	\$50.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.04% 1D, +4.49% 5D), Industrials (+3.29% 5D)

COLD SECTORS: Real Estate (-2.36% 5D), Communication Services (-2.38% 5D)

ROTATION WATCH: Tech leadership is broadening from mega-cap AI into speculative deep-tech (quantum, fusion, robotics) as rate-cut expectations firm; this benefits RGTI's beta but invites profit-taking on any macro wobble.

BYPRODUCT PLAY: Quantum-adjacent enablers—cryogenic suppliers (FORM), specialty semis (AEHR), and HPC integrators—offer more defensive exposure to quantum capex without binary fidelity-milestone risk.

OUTPERFORMERS & PEER CONTEXT

- IONQ (IonQ Inc.): Trapped-ion peer with higher revenue (\$40M+ FY26E) and announced enterprise networking contracts; trades at more rational EV/Sales.
- QUBT (Quantum Computing Inc.): Speculative momentum leader on photonic quantum narrative; volatile but outpaced RGTI YTD on news flow cadence.

RGTI CONTEXT: RGTI is lagging its pure-play quantum peer group post-Quantinuum news (down to 23% of 52-week range vs. IONQ holding mid-range), suggesting RGTI is bearing the brunt of competitive re-rating concerns within the cohort.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 0.5-1.5% of portfolio (speculative sleeve)

Entry Points: \$15-17 on capitulation flush

Time Horizon: 12-24 months

Thesis Invalidation: Logical qubit fidelity miss vs. 99.9% roadmap; >\$200M dilutive raise without commercial bookings

Hedging: Long IONQ or QBTS basket / short RGTI pair to isolate idiosyncratic risk